Company registration number 00290803 (England and Wales)

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2022

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

COMPANY INFORMATION

Directors	D MacAnthony	
	B F Fry	
	Dr J D Neale	
	R S Thompson	
	L Mitchell	(Appointed 22 August 2022)
Company number	00290803	
Registered office	London Road Peterborough PE2 8AL	
Auditor	Stephenson Smart & Co 36 Tyndall Court Commerce Road Lynch Wood Peterborough PE2 6LR	
Business address	London Road Peterborough PE2 8AL	
Bankers	Barclays Bank Plc 1 Church Street Peterborough Cambridgeshire PE1 1QP	
Solicitors	Pinder Reaux & Associates 61a East Street Barking Essex IG11 8EJ Bates Wells 10 Queen Street Place London EC4R 1BE	

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

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PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2022

The directors present the strategic report for the year ended 30 June 2022.

Summary of the business

The Directors report a profit before tax for the year of £860,413 (2021: loss before tax of £1,087,988).

Key Performance Indicators

The following key performance indicators are used by the company to measure and evaluate its performance:

	2022	2021
Turnover	£18,077,374	£6,733,724
Profit/(loss) before tax	£860,413	(£1,087,988)
Staff Costs	£9,142,027	£6,954,846
Average Attendance	9,564	Nil
League Position	22nd Championship	2nd EFL League 1

The directors take a cautious view with respect to financial risk management with the company being well managed by its board who operate a strict and prudent fiscal policy in all aspects.

Budgets and projections indicate that revenue generated from footballing activities being season ticket sales, gate receipts, FL Club distributions, competition prize money and TV & broadcasting revenue are insufficient to cover expected costs.

The directors are continually mindful that financially the company is dependent and will continue to be dependent upon the support provided by its beneficial owners, Mr D MacAnthony, Dr J Neale and Mr R Thompson.

Turnover is approximately 168.5% up on the previous year, cost of sales have increased by approximately 64%, leading to an increase in the gross profit by 232%.
Overall Staff Costs are up by approximately 31.4% with this being a targeted area for savings on an ongoing basis.

Our Average Attendance in the prior year had been affected due to the coronavirus pandemic. We continue to undertake Attendance Initiatives Projects to improve this position.

Principal risks and uncertainties

The nature of professional football presents many risks and uncertainties. The Board is aware of the risks that affect the company and they are regularly reviewed.

Liquidity risk is the main financial risk faced by the company and this is addressed by the careful management of its working capital requirements. Uncertainties connected with the various income streams are acknowledged and assessed and future funding requirements are continually reviewed by the board. The board are aware of the significant uncertainties that potentially impact the company, further information on these uncertainties can be found in the going concern section within note 1.2 to the financial statements.

Review of the business

Following automatic promotion to the Sky Bet Championship and the celebrations from that incredible day against Lincoln City had subsided, our immediate focus as a football club was to prepare for what was to come, both on and off the pitch.

Competing in the Sky Bet Championship was always going to be a huge challenge, particularly for a club the size of ours. The league consists of clubs with far greater infrastructure, finance and resources and many had recently played in the Premier League. The company issued a supporters bond, The Peterborough United Bond was fully subscribed raising £2.5m and we thank everyone for their excitement and participation.

There were some positive moments on the pitch during the season. We enjoyed some memorable victories over established Championship sides including Birmingham City and Blackburn Rovers and we did the double over Queens Park Rangers and who can forget the last minute winner against Derby County.

Review of the business (continued)

However, as with any league, consistency is key and we struggled to find that throughout the campaign. Despite the best efforts from everyone at the Club and whilst managing the difficult long-term effects of Covid-19 on finances and resources, the Club was ultimately unsuccessful in its aim to maintain Championship status despite a spirited last few months under the management of Grant McCann, which culminated in a morale-boosting conclusion to the season with a 5-0 win over Blackpool.

We did enjoy a positive run in the Emirates FA Cup, which culminated in a fiercely contested fifth round tie against Premier League giants Manchester City in front of a packed Weston Homes Stadium.

We came away from that game with plenty of positives both on and off the pitch and our sponsors and partners were boosted by the international coverage that a tie like that can provide.

Our Academy and investment in the development of young players continues to go from strength to strength. The season recorded over 90 senior appearances from Academy graduates for the second season running, coupled with outstanding academic results for our second year apprentices. Professional contracts were awarded to 10 youth team players and international honours for Ronnie Edwards and Janos Bodnar for England and Hungary respectively were reward for their continued progress.

The Club also celebrated the successful application and audit process, which resulted in receiving a three-year Category 2 Licence for the Academy, the first time the Club had achieved this in its history. A fantastic achievement and deserved recognition for the hard work of Academy Manager Kieran Scarff and his team. As part of this successful application for the new status, the indoor dome at the training ground was completed, which not only serves our youngsters within the Academy, but also the wider community.

The Posh Women also continued to flourish and 21/22 was another landmark season. The first team maintained their status in FAWNL Division One Midlands in their debut season and also reached round one of the Vitality FA Women's Cup for the first time. The season ended with a showcase game against Hashtag United at the Weston Homes Stadium in front of a record attendance of 1,400. There is a clear plan in place from Women's General Manager Bobby Copping to continue to grow this area of the football club.

During the season, the Club said farewell to long serving and highly respected Chief Executive Officer Bob Symns who retired in the autumn. The owners and everyone connected with the Club would like to thank Bob for many years of dedicated service and wish him well in retirement. Bob has taken the role of Club Ambassador, attends games regularly and continues to be a source of support and advice for staff.

Behind the scenes, we continue to grow and improve in all areas. We have worked hard on our new streaming service Posh+, providing exclusive content as well as live matches across the first team and the under 21s.

The Club continues to be grateful and very fortunate to have a small but fantastic team of staff who work tirelessly all year round. The Board would like to place on record it's gratitude to every member of staff for their hard work and commitment to making our Club the best it can be.

Finally, we would like to thank our fantastic fans, sponsors and partners for their continued support.

Going concern

At the balance sheet date the Company is in a net liability position. The Company's business activities combined with factors likely to impact future development, performance and position have been considered by the Board and continues to be reviewed in line with forecasts which extend beyond a year from the date of approval of this report.

The Board acknowledges their requirement to prepare the statutory financial statements on a going concern basis unless it is inappropriate to presume the company will continue to be in business. Details of the Board's assessment of going concern is set out in note 1.2 of the financial statements.

Closing Summary

It is fair to say that the 2022-2023 campaign was a rollercoaster ride, which culminated in a play-off semi-final defeat at Hillsborough against Sheffield Wednesday.

However, the football club have reset, we are re-charged and together, with Darren Ferguson at the helm, we are excited about the future. The club received multiple bids during the January transfer window in 2023 for several players, which we rejected because the ownership felt that it would give the club a better opportunity to achieve promotion and but for a few seconds we may have had that chance at Wembley. Such are the highs and lows of football.

At the time of writing this report we have successfully sold Jack Taylor and we wish him every success in his future career. As part of our reset, we expect a number of players to depart ahead of the next Sky Bet League One campaign with several transfer listed following the conclusion of the last term. Additionally, we are very excited about the ongoing recruitment campaign and believe 2023-24 campaign will be the start of another development "sprint" where we see significant talent playing for our beloved club.

The new Sky Bet League One campaign gets underway in August and we will, as always, do our best to entertain our supporters on the pitch.

On behalf of the board

Dr J D Neale
Director
29 June 2023

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2022

The directors present their annual report and financial statements for the year ended 30 June 2022.

Principal activities
The principal activity of the club continued to be that of a professional football club.

Results and dividends
The results for the year are set out on page 10.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

D MacAnthony	
B F Fry	
R Symns	(Resigned 1 March 2022)
Dr J D Neale	
R S Thompson	
L Mitchell	(Appointed 22 August 2022)

Future developments
Since the year end the club has been concentrating on consolidating its position following relegation from the Championship and is now focusing on a successful 2023-24 Sky Bet League One campaign.

Auditor
The auditor, Stephenson Smart & Co, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Statement of directors' responsibilities
The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure to auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor are unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

On behalf of the board

Dr J D Neale
Director

29 June 2023

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

Opinion

We have audited the financial statements of Peterborough United Football Club Limited (the 'company') for the year ended 30 June 2022 which comprise the statement of comprehensive income, the balance sheet, the statement of changes in equity, the statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2022 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

We draw your attention to note 1.2 in the financial statements which indicates a material uncertainty which may cast significant doubt over the company's ability to continue as a going concern. In forming our opinion on the financial statements, we have considered the adequacy of the disclosures made in note 1.2.

The financial statements do not include the adjustments that would result if the company were unable to continue as a going concern.

Explanation of material uncertainty

At the balance sheet date the Company is in a net liability position.

Day to day working capital requirements are met through existing cash and banking facilities, bank loans, investor financing and from the support of its beneficial owners by way of shareholder related loans.

The Board have assessed the adequacy of the financial facilities available to the company, using management information, including a recent review of forecasts which extend beyond one year from the date of approval of these financial statements. The amount of funding required is uncertain and is dependent upon key assumptions around season ticket sales and matchday income, football performance, overhead costs, future player sales, contingent receipts and transfer fees payable and the company's ability to secure future debt and/or equity finance.

In addition to the above, additional funding is likely to be required to meet any payments agreed as part of the disputed related party loan, as explained in notes 1.2 and 24.

The Board have obtained a letter of support from two of the ultimate beneficial owners, Darragh MacAnthony and Jason Neale, whereby they have provided confirmation of their intention to support the company and to provide additional loan facilities as required to meet any shortfalls that may arise from variances to the forecast cash flows. In addition, they have provided further confirmation of their intention to support the company by not demanding repayment of loans owing to related parties for the foreseeable future. The level and timing of the potential cash requirements have been considered by the board, however, they acknowledge that the letter of support is not legally b nding and there is no contractual certainty that the shareholders will make available such funding, nor require repayment of their existing loans.

As explained in note 1.2, this creates a material uncertainty which may cast significant doubt over the company's ability to continue as a going concern.

Our opinion is not modified in respect of this matter.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

We have considered the nature of the sector, control environment and financial performance based on our accumulated knowledge of the Club.

We have made enquiries with those charged with governance and management, including obtaining and reviewing supporting documentation relating to:

- Identifying, evaluating and complying with laws and regulations and if they were aware of any instances of non-compliance;
- Detecting and responding to the risks of fraud and whether they aware of any actual or suspected fraud;
- The internal controls established to mitigate risks of fraud or non-compliance with laws and regulations.

As a result of the above we consider key risks being inappropriate journal entries, management override and revenue recognition. We have also considered provisions of other laws and regulations that do not have a direct effect on the financial statements but could affect the the Club's ability to operate or avoid a material penalty. These include health and safety regulations, alcohol licensing and EFL and FA rules.

Our procedures to respond to risks identified included the following:

- analytical procedures are performed as well as substantive testing to identify any potential misstatement due to fraud and the audit procedures would also involve being aware of any items from discussions with staff and management;
- performing detailed transactional testing in relation to the recognition of revenue and the completeness of funding;
- reviewing board meeting minutes;
- enquiring of management in relation to actual and potential claims for litigation;
- in addressing the risk of fraud through management override of controls we have tested the appropriateness of journal entries and other adjustments and we assessed whether judgements made in accounting estimates are indicative of management bias.

Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements or non-compliance with regulation. This risk increases the more that compliance with a law or regulation is removed from the events and transactions reflected in the financial statements, as we will be less likely to become aware of instances of non-compliance. The risk is also greater regarding irregularities occurring due to fraud rather than error, as fraud involves intentional concealment, forgery, collusion, omission or misrepresentation.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report
This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Kerry Hilliard ACA FCCA CTA (Senior Statutory Auditor)
For and on behalf of Stephenson Smart & Co

29 June 2023

Chartered Accountants
Statutory Auditor

36 Tyndall Court
Commerce Road
Lynch Wood
Peterborough
PE2 6LR

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2022

	Notes	2022 £	2021 £
Turnover	**4**	18,077,374	6,733,724
Cost of sales		(4,176,773)	(2,547,017)
Gross profit		13,900,601	4,186,707
Administrative expenses		(14,233,632)	(10,030,171)
Other operating income		171,095	699,013
Profit on the disposal of player registrations	**3**	1,393,988	4,797,568
Operating profit/(loss)	**5**	1,232,052	(346,883)
Interest payable and similar expenses	**9**	(371,639)	(741,105)
Profit/(loss) before taxation		860,413	(1,087,988)
Taxation	**10**	72,523	68,423
Profit/(loss) for the financial year	**22**	932,936	(1,019,565)

The profit and loss account has been prepared on the basis that all operations are continuing operations.

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

BALANCE SHEET

AS AT 30 JUNE 2022

	Notes	2022 £	2022 £	2021 £	2021 £
Fixed assets					
Intangible assets	**11**		3,564,173		2,833,408
Tangible assets	**12**		3,101,645		1,105,910
			6,665,818		3,939,318
Current assets					
Stocks	**13**	95,806		186,619	
Debtors falling due after more than one year	**14**	309,375		50,000	
Debtors falling due within one year	**14**	2,822,796		3,831,541	
Cash at bank and in hand		2,926,142		208,944	
		6,154,119		4,277,104	
Creditors: amounts falling due within one year	**15**	(19,492,917)		(19,686,409)	
Net current liabilities			(13,338,798)		(15,409,305)
Total assets less current liabilities			(6,672,980)		(11,469,987)
Creditors: amounts falling due after more than one year	**16**		(5,698,070)		(1,833,999)
Net liabilities			(12,371,050)		(13,303,986)
Capital and reserves					
Called up share capital	**21**		3,284,580		3,284,580
Profit and loss reserves	**22**		(15,655,630)		(16,588,566)
Total equity			(12,371,050)		(13,303,986)

The financial statements were approved by the board of directors and authorised for issue on 29 June 2023 and are signed on its behalf by:

Dr J D Neale
Director

Company Registration No. 00290803

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2022

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2020	3,284,580	(15,569,001)	(12,284,421)
Year ended 30 June 2021:			
Loss and total comprehensive income for the year	-	(1,019,565)	(1,019,565)
Balance at 30 June 2021	3,284,580	(16,588,566)	(13,303,986)
Year ended 30 June 2022:			
Profit and total comprehensive income for the year	-	932,936	932,936
Balance at 30 June 2022	3,284,580	(15,655,630)	(12,371,050)

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2022

	Notes	2022 £	2022 £	2021 £	2021 £
Cash flows from operating activities					
Cash generated from/(absorbed by) operations	28		2,514,182		(8,486,616)
Interest paid			(371,639)		(741,105)
Income taxes refunded			140,947		-
Net cash inflow/(outflow) from operating activities			2,283,490		(9,227,721)
Investing activities					
Purchase of intangible assets		(1,708,334)		(1,785,000)	
Proceeds from disposal of intangibles		1,030,500		4,792,000	
Purchase of tangible fixed assets		(1,977,988)		(219,055)	
Proceeds from disposal of tangible fixed assets		34,208		-	
Repayment of loans		(5,000)		-	
Net cash (used in)/generated from investing activities			(2,626,614)		2,787,945
Financing activities					
Proceeds from borrowings		4,127,034		7,856,638	
Repayment of borrowings		(1,078,346)		(1,665,106)	
Proceeds from new bank loans		60,000		-	
Payment of finance leases obligations		(48,366)		(15,107)	
Net cash generated from financing activities			3,060,322		6,176,425
Net increase/(decrease) in cash and cash equivalents			2,717,198		(263,351)
Cash and cash equivalents at beginning of year			208,944		472,295
Cash and cash equivalents at end of year			2,926,142		208,944

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2022

1 Accounting policies

Company information

Peterborough United Football Club Limited is a private company limited by shares incorporated in England and Wales. The registered office is London Road, Peterborough, PE2 8AL.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

1 Accounting policies **(Continued)**

1.2 Going concern and post balance sheet events

The Board of Directors are required to prepare the statutory financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The company has net liabilities of £12.4m (2021: £13.3m) and made a profit after tax in the current year of £933k (2021: loss of £1.02m) and has net current liabilities of £13.3m (2021: £15.4m).

Day to day working capital requirements are met through existing cash and banking facilities, bank loans, investor financing and from the support of its beneficial owners by way of shareholder related loans.

To enable the Board to assess the adequacy of the financial facilities available to the company, they have used management information, including a recent review of forecasts which extend beyond one year from the date of approval of these financial statements.

The forecasts make key assumptions around season ticket sales and matchday income, football performance, overhead costs, future player sales, contingent receipts and transfer fees payable and the company's ability to secure future debt and/or equity finance. Any reliance placed on the forecasts by the Board is dependent upon the above factors. At the time of preparation, the Board recognises that current projections indicate that the company will require additional funding within the next 12 months to meet its operational cash flow requirements and to facilitate loan repayments and cash requirements for other financing commitments. The assumptions made by the Board when determining the expected funding requirement do not include any contingent income relating to potential sell-on fees for Ivan Toney.

In addition to the above, as described in note 24 to the financial statements, additional funding is likely to be needed to meet any repayments required in connection with the disputed related party loan . The company currently expects that £4.125m will be due within 12 months from the date of signing of these financial statements. This liability is contingent upon the successful conclusion of current negotiations as a contractual settlement has not been reached at the date of signing of these financial statements.

The amount of additional funding required is uncertain and the Board acknowledges that the required amounts will depend upon significant uncertainties relating to:

-the assumptions relating to the timing and amounts expected to be received in respect of player sales;

-the expected re-financing of existing loans and receipt of new investor finance;

-the satisfactory settlement of the dispute in connection with the term loan agreement as described in note 24 to these financial statements;

-the ongoing support of two of the beneficial owners, Darragh MacAnthony and Jason Neale.

On the basis of the above, the Board acknowledges the existence of material uncertainties which may cast significant doubt over the company's ability to continue as a going concern.

The Board have obtained a letter of support from two of the ultimate beneficial owners, Darragh MacAnthony and Jason Neale, whereby they have provided confirmation of their intention to support the company and to provide additional loan facilities as required to meet any shortfalls that may arise from variances to the forecast cash flows. In addition, they have provided further confirmation of their intention to support the company by not demanding repayment of loans owing to them for the foreseeable future. The level and timing of the potential cash requirements have been considered by the Board, however, they acknowledge that the letter of support is not legally binding and there is no contractual certainty that the shareholders will make available such funding, nor require repayment of their existing loans. If the support of the shareholders was required and not forthcoming, the company may not be able to raise additional funding to provide sufficient cash to enable it to meet its liabilities as they fall due. This creates a material uncertainty which may cast significant doubt over the company's ability to continue as a going concern.

Nevertheless, on the basis of the information available to the Board at the current time, the Board believe that there is a reasonable expectation that the company will have adequate resources to continue in operational existence for the foreseeable future. Accordingly, they continue to adopt the going concern basis of preparation in these financial statements.

1 Accounting policies **(Continued)**

1.3 Turnover

Turnover represents amounts receivable for net gate and ticket receipts, box subscriptions, television and sponsorship revenue, FA and prize money, contingent transfer fees, player loan fees, rental income and other commercial activities net of VAT. Turnover is the total amount excluding value added tax, receivable by the company in the ordinary course of business. Net gate and ticket receipts are recognised when the match is played; television and sponsorship revenue are recognised over the contract or sponsorship period; rental income is recognised over the rental period and all other income is recognised as it becomes receivable in line with the service provided.

1.4 Intangible fixed assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the entity.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Playing staff	amortised over the length of the related player contract

Transfer fees are recognised in the accounting period in which the transfer is registered with the relevant football governing body except where the contract is not conditional upon registration in which case the transfer is recognised when the contract becomes unconditional (usually when payment is made or received). Payments or receipts which are contingent on the performance of team or player are not recognised until the events crystalling such payments or receipts have taken place. Contingent payments or receipts are included within cost of sales and turnover respectively. Transfer fees payable excluding contingent amounts are capitalised and shown as intangible fixed assets. This amount is then amortised over the length of the related player contract. Transfer fees receivable excluding contingent amounts are treated as a sale of the relevant intangible fixed asset.

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Leasehold improvements	10% per annum of cost
Plant and machinery	25% per annum reducing balance
Fixtures, fittings & equipment	25% per annum reducing balance
Motor vehicles	25% per annum reducing balance

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Impairment of fixed assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any).

1 Accounting policies **(Continued)**

1.7 Stocks

Stock is valued at the lower of cost and realisable value after making any adjustments necessary for obsolete or slow moving stock.

1.8 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

1 Accounting policies **(Continued)**

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value though profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the company's contractual obligations expire or are discharged or cancelled.

1.9 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

Changes in the fair value of derivatives that are designated and qualify as fair value hedges are recognised in profit or loss immediately, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk.

1.10 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

1 Accounting policies **(Continued)**

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.11 Employee benefits

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.12 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.13 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

Rental income from operating leases is recognised on a straight line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight line basis over the lease term.

1.14 Government grants

Grants are accounted for under the accruals model as permitted by FRS 102. Grants relating to expenditure on tangible fixed assets are credited to the profit and loss account at the same rate as the depreciation on the assets to which the grant relates. The deferred element of the grants is included in creditors as deferred income.

Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable.

1 Accounting policies **(Continued)**

1.15 Signing on fees

Contractual amounts of fees payable to players are recognised as prepayments and spread evenly over the contract period. The net balance of signing on fees relating to players sold is included within the calculation of profit or loss on disposal of players' contracts.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Depreciation and amortisation

Depreciation and amortisation are recognised to write off the cost of intangible and tangible fixed assets less their residual values over their useful lives at the rates detailed in Notes 1.4 and 1.5. The provisions for amortisation and depreciation at the reporting end date are £2,405,827 and £1,293,056 respectively. Further details of the amounts provided at the beginning and end of the period, together with the charge for the year are shown in Notes 11 and 12 respectively.

Contingent Appearance Fees

The company has, under transfer agreements, a liability to pay additional sums dependent on players' attainment and any subsequent transfer value. At the year end such fees were estimated at £913,125 (2021: £795,000) which are not considered probable based on managements best estimates. As such no provision has been made in these financial statements.

3 Exceptional item

	2022	2021
	£	£
Profit on the disposal of player registrations	1,393,988	4,797,568

4 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2022	2021
	£	£
Turnover analysed by class of business		
Retail income	681,849	505,324
Football and commercial income	17,395,525	6,228,400
	18,077,374	6,733,724

4 Turnover and other revenue (Continued)

	2022	2021
	£	£
Other revenue		
Grants received	102,343	651,141

The total turnover of the company for the period has been derived from its principal activity wholly undertaken in the United Kingdom.

5 Operating profit/(loss)

Operating profit/(loss) for the year is stated after charging/(crediting):	2022 £	2021 £
Government grants	(102,343)	(651,141)
Depreciation of owned tangible fixed assets	296,552	180,999
Depreciation of tangible fixed assets held under finance leases	52,421	10,870
Loss on disposal of tangible fixed assets	20,793	-
Amortisation of intangible assets	1,423,223	1,067,950
Operating lease charges	131,918	556,988

6 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2022 Number	2021 Number
Playing staff	104	80
Matchday staff	88	36
Management and office	30	16
	222	132

Their aggregate remuneration comprised:

	2022	2021
	£	£
Wages and salaries	8,088,010	6,131,608
Social security costs	933,769	738,472
Pension costs	120,248	84,766
	9,142,027	6,954,846

7 Auditor's remuneration

	2022	2021
Fees payable to the company's auditor and associates:	£	£
For audit services		
Audit of the financial statements of the company	20,250	14,500
For other services		
All other non-audit services	13,882	15,132

8 Directors' remuneration

	2022	2021
	£	£
Remuneration for qualifying services	301,198	389,146
Company pension contributions to defined contribution schemes	2,055	3,506
	303,253	392,652

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 1 (2021 - 1).

Remuneration disclosed above include the following amounts paid to the highest paid director:

Remuneration for qualifying services	252,253	309,725

9 Interest payable and similar expenses

	2022	2021
	£	£
Interest on financial liabilities measured at amortised cost:		
Other interest on financial liabilities	355,181	710,880
Other finance costs:		
Interest on finance leases and hire purchase contracts	16,052	3,133
Other interest	406	27,092
	371,639	741,105

10 Taxation

	2022	2021
	£	£
Current tax		
Adjustments in respect of prior periods	(72,523)	(68,423)

10 Taxation (Continued)

	2022	2021
	£	£
Profit/(loss) before taxation	860,413	(1,087,988)
Expected tax charge/(credit) based on the standard rate of corporation tax in the UK of 19.00% (2021: 19.00%)	163,478	(206,718)
Tax effect of expenses that are not deductible in determining taxable profit	1,006	1,399
Tax effect of utilisation of tax losses not previously recognised	(164,484)	(8,294)
Unutilised tax losses carried forward	-	213,613
Research and development tax credit	(72,523)	(68,423)
Taxation credit for the year	(72,523)	(68,423)

The company has estimated losses of £15,625,891 (2021: £16,470,133) available for carry forward against future trading profits.

11 Intangible fixed assets

	Playing staff
	£
Cost	
At 1 July 2021	4,600,000
Additions	2,660,000
Disposals	(1,290,000)
At 30 June 2022	5,970,000
Amortisation and impairment	
At 1 July 2021	1,766,592
Amortisation charged for the year	1,423,223
Disposals	(783,988)
At 30 June 2022	2,405,827
Carrying amount	
At 30 June 2022	3,564,173
At 30 June 2021	2,833,408

12 Tangible fixed assets

	Leasehold improvements	Plant and machinery	Fixtures, fittings & equipment	Motor vehicles	Total
	£	£	£	£	£
Cost					
At 1 July 2021	1,450,193	1,111,599	718,228	92,855	3,372,875
Additions	1,968,432	118,578	-	312,699	2,399,709
Disposals	-	(681,224)	(603,804)	(92,855)	(1,377,883)
At 30 June 2022	3,418,625	548,953	114,424	312,699	4,394,701
Depreciation and impairment					
At 1 July 2021	618,559	893,446	695,363	59,597	2,266,965
Depreciation charged in the year	214,544	76,292	5,716	52,421	348,973
Eliminated in respect of disposals	-	(660,810)	(601,796)	(60,276)	(1,322,882)
At 30 June 2022	833,103	308,928	99,283	51,742	1,293,056
Carrying amount					
At 30 June 2022	2,585,522	240,025	15,141	260,957	3,101,645
At 30 June 2021	831,634	218,153	22,865	33,258	1,105,910

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases or hire purchase contracts.

	2022	2021
	£	£
Motor vehicles	246,983	32,611

13 Stocks

	2022	2021
	£	£
Finished goods and goods for resale	95,806	186,619

14 Debtors

	2022	2021
Amounts falling due within one year:	£	£
Trade debtors	1,389,565	2,207,292
Corporation tax recoverable	-	68,423
Other debtors	516,637	450,901
Prepayments and accrued income	916,594	1,104,925
	2,822,796	3,831,541

14 Debtors **(Continued)**

	2022	2021
Amounts falling due after more than one year:	£	£
Trade debtors	309,375	50,000
Total debtors	3,132,171	3,881,541

15 Creditors: amounts falling due within one year

		2022	2021
		£	£
Bank loans and overdrafts	**17**	360,000	300,000
Obligations under finance leases	**18**	31,704	5,034
Other borrowings	**17**	13,600,222	13,190,734
Payments received on account		1,671,943	1,886,767
Trade creditors		2,352,066	2,349,637
Other taxation and social security		717,613	705,571
Government grants	**19**	138,035	43,381
Other creditors		309,513	212,885
Accruals and deferred income		311,821	992,400
		19,492,917	19,686,409

Net obligations under finance lease and hire purchase contracts amounting to £31,704 (2021: £5,034) are secured by fixed charges on the assets concerned.

Bank loans amounting to £360,000 (2021: £300,000) are guaranteed under the Enterprise Finance Guarantee (EFG) Scheme.

Other borrowings at 30 June 2022 includes loan balances of £2,782,390 which are secured by fixed and floating charges on the company's assets. This liability is currently disputed as explained in note 24.

16 Creditors: amounts falling due after more than one year

		2022	2021
		£	£
Obligations under finance leases	**18**	230,948	28,701
Other borrowings	**17**	2,761,200	122,000
Trade creditors		1,366,666	900,000
Government grants	**19**	983,720	344,353
Other creditors		355,536	438,945
		5,698,070	1,833,999

Net obligations under finance lease and hire purchase contracts amounting to £230,948 (2021: £28,701) are secured by fixed charges on the assets concerned.

17 Loans and overdrafts

	2022	2021
	£	£
Bank loans	360,000	300,000
Loans from related parties	13,139,422	13,129,934
Other loans	3,222,000	182,800
	16,721,422	13,612,734
Payable within one year	13,960,222	13,490,734
Payable after one year	2,761,200	122,000

The company has a bank loan of £360,000 (2021: £300,000) repayable within 1 year with an interest rate of 0% over the Barclays base rate.

Included within other loans is £2,500,000 (2021: £Nil) of additional funds raised from the issue of bonds to the public in June 2022 to support capital expenditure. The bonds are unsecured and have a fixed term of 5 years, with interest paid annually from 30 September 2022 at 9%.

The company also has a loan of £600,000 (2021: £Nil) to support working capital. The loan is unsecured and interest is charged at 12.5%. The final repayment of the loan is payable by 31 August 2023.

Details of loans from related parties is disclosed in note 25.

18 Finance lease obligations

	2022	2021
Future minimum lease payments due under finance leases:	£	£
Within one year	31,704	5,034
In two to five years	230,948	28,701
	262,652	33,735

Finance lease payments represent rentals payable by the company for certain items of plant and machinery. Leases include purchase options at the end of the lease period, and no restrictions are placed on the use of the assets. The average lease term is 2 years. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

The net obligations under finance leases are secured by fixed charges on the assets concerned.

19 Government grants

	2022	2021
	£	£
Arising from government grants	1,121,755	387,734
Deferred income is included in the financial statements as follows:		
Current liabilities	138,035	43,381
Non-current liabilities	983,720	344,353
	1,121,755	387,734

The Club has been awarded a government grant in the financial year amounting to £826,485 (2021: £643,515) for the purpose of enhancing grassroots football and football training facilities within the Cambridgeshire region, but with a particular focus on Peterborough and the surrounding areas. The grant, recognised as deferred income, is being amortised over the useful life of the expenditure incurred. In accordance with the terms of the grant, the maximum grant to be received is £1,470,000 with the grant period ending on 30 March 2026.

During the year the Club received the Coronavirus Job Retention Scheme grant totalling £3,517 (2021: £395,360). The Club also received grant income from the government's Kick Start Scheme totalling £6,363 (2021: £Nil). This was included in 'other operating income' when it became receivable.

20 Retirement benefit schemes

	2022	2021
Defined contribution schemes	£	£
Charge to profit or loss in respect of defined contribution schemes	120,248	84,766

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

21 Share capital

	2022	2021
	£	£
Ordinary share capital		
Issued and fully paid		
1,642,290 ordinary shares of £2 each	3,284,580	3,284,580

22 Profit and loss reserves

	2022	2021
	£	£
At the beginning of the year	(16,588,566)	(15,569,001)
Profit/(loss) for the year	932,936	(1,019,565)
At the end of the year	(15,655,630)	(16,588,566)

23 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2022	2021
	£	£
Within one year	148,532	165,279
Between two and five years	78,432	104,210
In over five years	90,500	96,500
	317,464	365,989

24 Financial commitments, guarantees and contingent liabilities

Loans from related parties

In November 2022, a payment demand was issued to the company by Old Kent Road Financial Ltd ('the lender') in respect of outstanding liabilities relating to a secured term loan agreement. This debenture is registered at Companies House and provides security by way of a charge on the company's assets and the right to appoint an administrator in the event of default.

Following subsequent legal communications, Peterborough United Football Club Limited have disputed the amounts outstanding in respect of the loan and at the time of signing are in the final stages of negotiating a settlement with the lender. At 30 June 2022, a balance of £2.78m, currently disputed by the company, in respect of the secured term loan agreement has been recognised in these financial statements. Since the year end a repayment of £1.1m has been made by the company. A further £417k of unsecured loan balances is included in creditors due within one year. The amount demanded by the lender in November 2022 was £7.16m. This has been disputed by the company, in part based on the assertion that the payment demand includes a balance of £3.4m that does not form part of the term loan agreement and is owed to Peterborough United Properties Ltd. At 30 June 2022 this liability is recognised in creditors due within one year. Based on the current state of negotiations, the company has concluded that no further amounts are required to be provided in the financial statements at 30 June 2022. When a final settlement is reached the amounts that are eventually recognised may be less or more than those already recognised.

Other

The company has a financial commitment under contract for maintenance of pitches at the main ground and academy. The financial commitment amounts to £27,000 to 31 August 2022.

The company may receive, under transfer agreements, further amounts for players already sold dependent on whether these players are sold on again for a profit. No reliable estimate can be made of the likelihood of these players being transferred or their potential transfer values.

The company has, under transfer agreements, a liability to pay additional sums dependent on players' attainment and any subsequent transfer value. At the year end such fees were estimated at £913,125 (2021: £795,000) to be payable by the company.

No provision has been made in these accounts for such liabilities as management do not consider the above estimate to be reliable as player attainments may not be achieved and therefore the payment may never crystallise.

The company is also awaiting the outcome of the Sheldon review in to a number of historic cases. The Directors believe that the Club may have a maximum liability in of £50,000 in respect of this review. No provision has been made in these financial statements.

25 Related party transactions

Transactions with related parties

During the year the company entered into the following transactions with related parties:

	Sales		Purchases	
	2022	2021	2022	2021
	£	£	£	£
Entities with control, joint control or significant influence over the company	-	(300,000)	380,000	195,209
Key management personnel	700	600	607,175	212,299
Other related parties	34,968	41,257	16,077	23,640

The following amounts were outstanding at the reporting end date:

Amounts due to related parties	2022 £	2021 £
Entities with control, joint control or significant influence over the company	13,177,422	13,261,915
Other related parties	-	400

The following amounts were outstanding at the reporting end date:

Amounts due from related parties	2022 £	2021 £
Entities with control, joint control or significant influence over the company	438,756	411,803
Other related parties	507	111

At 30 June 2022, loans totalling £6,640,579 (2021: £6,717,579) and trade creditors totalling £Nil (2021: £17,980) were outstanding to entities with joint control over the company. No interest has been charged on the loans.

At 30 June 2022, liabilities totalling £6,498,843 (2021: £6,412,356) were outstanding to entities with significant influence over the entity. This includes a balance of £2,782,390 in respect of a term loan agreement on which interest has been charged at 18%. The termination date of this loan was 8 October 2021 and the balance is currently in dispute as explained in note 24.

No interest is charged on the remaining liabilities.

The bank facility has been personally guaranteed by two directors to a maximum of £750,000.

26 Directors' transactions

Advances or credits have been granted by the company to its directors as follows:

Description	% Rate	Opening balance	Amounts advanced	Closing balance
		£	£	£
Loan	-	-	5,000	5,000
		-	5,000	5,000

27 Ultimate controlling party

At the balance sheet date there is no ultimate controlling party. The company is jointly controlled by DMA Holdings S.A. and Kelgary Sports & Entertainment Ltd by virtue of their majority shareholding.

28 Cash generated from operations

	2022	2021
	£	£
Profit/(loss) for the year after tax	932,936	(1,019,565)
Adjustments for:		
Taxation credited	(72,523)	(68,423)
Finance costs	371,639	741,105
Loss on disposal of tangible fixed assets	20,793	-
Gain on disposal of intangible assets	(1,393,988)	(4,797,568)
Amortisation and impairment of intangible assets	1,423,222	1,067,948
Depreciation and impairment of tangible fixed assets	348,973	191,870
Movements in working capital:		
Decrease/(increase) in stocks	90,813	(101,665)
Decrease/(increase) in debtors	1,555,447	(2,108,723)
(Decrease) in creditors	(763,130)	(2,391,595)
Cash generated from/(absorbed by) operations	2,514,182	(8,486,616)

29 Analysis of changes in net debt

	1 July 2021	Cash flows	New finance leases	30 June 2022
	£	£	£	£
Cash at bank and in hand	208,944	2,717,198	-	2,926,142
Borrowings excluding overdrafts	(13,612,734)	(3,108,688)	-	(16,721,422)
Obligations under finance leases	(33,735)	48,366	(277,283)	(262,652)
	(13,437,525)	(343,124)	(277,283)	(14,057,932)

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.